

Balkrishna Industries Ltd

BSE: 502355

NSE: BALKRISIND

Company Profile

Balkrishna Industries Limited is a listed firm that manufactures ‘off-road tires’ which cater to Agriculture, Industrial, Construction, Port, Earthmoving, Mining, Lawn and Garden, and All-Terrain Vehicle (ATVs) Tires. This company was established in 1987 as part of the Siyaram Poddar Group, based in Mumbai, India. Initially, the firm started its operations by producing bicycle tires and later expanded the production to produce off-highway tires for construction and agricultural equipment. At present, it is the leader in the Off-Highway Tire(OHT) industry which exports its goods to over 160 countries including India. The primary sales of this company are from exports which constitute 83% of the total sales. Out of which 54% is sales to Europe and 17% is the US and the rest of the world is 12%.

Product lines

The main product lines of the company are BKT Tracks, BKT Network, BKT Land, BKT Carbon, and BKT Sponsorship. Recently, they have expanded their scope into network, land, and sponsorships (Rugby world cup France 2023, title sponsor of Curling continental cup, “LIGUE de Football Professionnel (LFP)” in France).

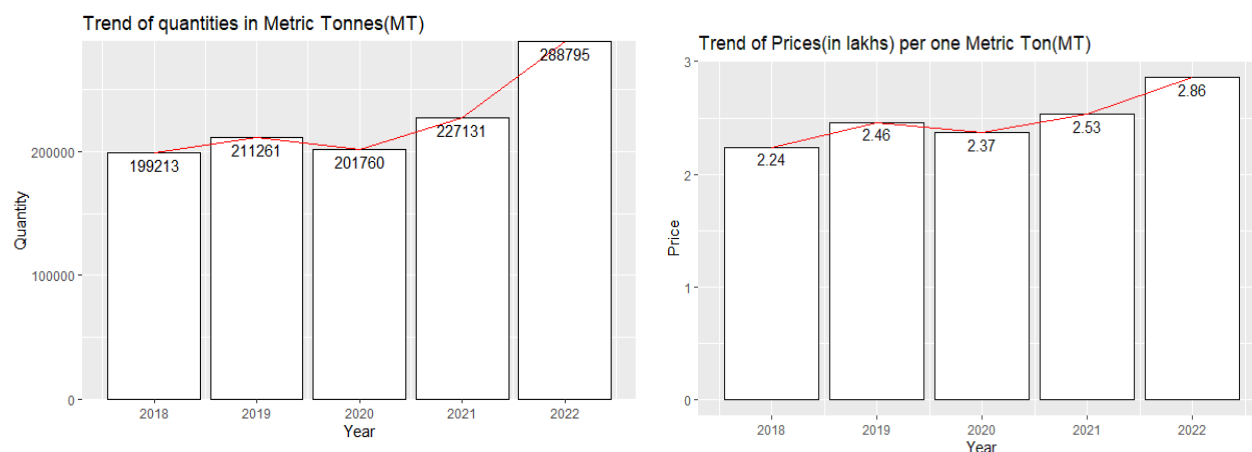
Registered office

BalKrishna Tires has its registered office at Waluj MIDC, Aurangabad, Maharashtra, India. Its corporate office is at Senapati Bapat Marg, Mumbai, Maharashtra, India. They possess several manufacturing plants, five tire manufacturing plants (Two in Rajasthan, One in Gujarat & Two in Maharashtra), A Carbon Black unit in Gujarat, One mould unit in Maharashtra, and in addition, one Wind Power unit in Rajasthan for Captive use.

Credit Rating

During the FY 2021- 22, with respect to the debt instruments such as 5000 Rated, Listed, Unsecured, Redeemable, Non-convertible debentures(NCDs) the company was awarded CARE AA rating by Credit Rating Agency.

Price and Quantity changes



The above graph shows that the hike in prices and quantity produced went hand in hand. The trend suggests that the prices and quantity fell during the pandemic in 2020 and both of them have risen in the later years.

Sustainable production and Social Responsibility

BKT (BalKrishna Tires) industry uses Natural and Synthetic Rubber, Carbon Black, and Nylon fabric as their primary raw materials. To make the production process sustainable and to develop an alternative source of Natural rubber they are performing research and development. In addition, they have also set up their own 'Carbon black' manufacturing unit to ensure a low-carbon footprint and ease of availability.

BKT is a socially responsible firm and they promote Education, Health, and Rural Development. For the financial year 2022, it has spent 2,489 Lakhs as part of CSR(Corporate Social Responsibility) which is 1.76% of PAT (Profit After Tax). It is committed to creating a more equitable and inclusive society by supporting sustainable transformation and rural development. It also promotes education and healthcare for all the vulnerable sections of society through partnerships with Government, NGOs and other organizations and also undertakes rural development initiatives.

What does NOT do?

Let's have a look at what is going on in the business from the production process to sales. For starting production, the firm needs assets(Fixed and current). For this, someone needs to fund these assets. For BKT, the assets worth 10,85,709 lakhs are utilised to produce the 2,88,795 MT volume of sales for FY22. For buying these assets, the owner's contribution (Shareholders Equity) is 6,92,455 lakhs and the outsider's contribution(Suppliers, lenders) is 3,93,254 lakhs. To note, for the FY22 the company has raised a fresh capital of 1900 crores.

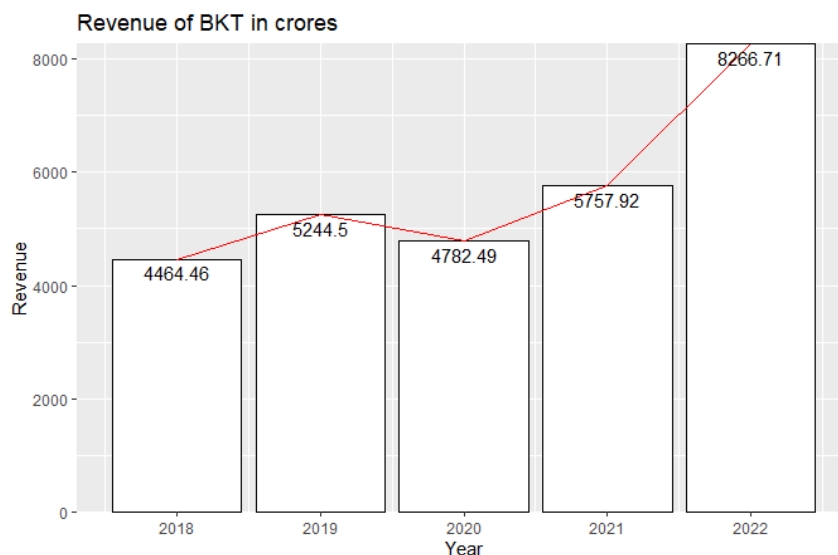
Balance Sheet

(In Lakhs)

Liabilities	Assets
Outsiders - 3,93,254	Current assets -3,80,289
Owners - 692455	Non-current assets - 705420

TOTAL = 10,85,709	TOTAL = 10,85,709
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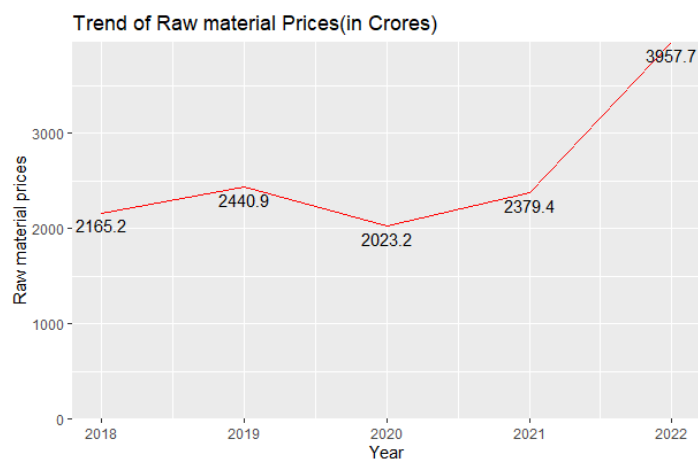
Further, the raised funds are used to buy raw materials, for the production to begin. The major raw materials that BKT uses are Natural and Synthetic Rubber, Carbon Black, and Nylon. Note, the increase in the price of raw materials impacts the sales and thereby the bottom line because of the rise in the cost



of production.

The above figure shows the fall in revenue during the pandemic, some part of it can be explained by the rise in raw material prices during the pandemic.

To mitigate such risks, the company increased the price of the tires over a period of time. In addition, one of the major raw materials, carbon required is being met from their own plants. This carbon plant eased access to carbon. Earlier, the company enjoyed natural hedging since most of its raw materials were imported from foreign countries and its revenue was in foreign currency.



The above is the trend of raw materials prices (FY2018-22).

Using the current assets (raw materials) and fixed assets (machinery, equipment, etc), 2,88,795 MT volume of sales was made. Most of its sales were through exports to Europe, the US, Canada, etc.

For BKT, the financial intermediaries are Standard Chartered Bank, State Bank of India, Kotak Mahindra Bank, IndusInd Bank Limited, Citibank N.A., The Hongkong and Shanghai Banking Corporation Limited. These are the banks that have dealings with BKT. They may sometimes act as a guarantee between two countries, in case the goods are not received within the given time. The later stage of the sales is transactions. Since most of the sales are through exports, the company may have problems with the returns in foreign currency. Other than the Indian rupee, the company has exposure to USD, EURO, and CAD currencies. For mitigating these foreign currency risks, the company hedges foreign currency risk of highly probable forecast transactions using forward contracts, such contracts are called cash flow hedges.

When the sales are made and the revenue is generated, the next task is paying the operating expenses. This includes paying the operating expenses(salaries, rents, wages, vendors, suppliers, etc). The revenue generated in FY2022 is 8,26,671 lakhs.

Salaries and remunerations

There were 3,229 permanent employees as of 31st March 2022. Among these, 1.2% (39) of them are women. 6578 employees were hired on a temporary/contractual/contract basis. Among the permanent employees, 33% of them are part of the union at the Aurangabad plant. To study the difference in the salaries of employees and people at the higher level (Managing Director and CFO) we will look at the ratios. Mr. Arvind Poddar (Managing Director) was paid 4554 lakhs, Mr. Madhusudhan Bajaj(CFO) was paid 184 lakhs and the median remuneration of the employee was 5.56 lakhs. The ratio of pay to Managing director and median remuneration of the employee is 819:1 and the ratio of pay to CFO and median remuneration of the employee is 33:1. After deducting the operating expenses, the remaining amount is 2,40,610 lakhs called 'Profit Before Interest rate, Depreciation and Taxes'(PBIDT). Further, deducting the interest rate, depreciation, and taxes from the PBIDT, the profit after tax is 1,41,069 lakhs. In addition, the company owes 1638 lakhs to micro and small enterprises. It is 0.18 % of the overall revenue.

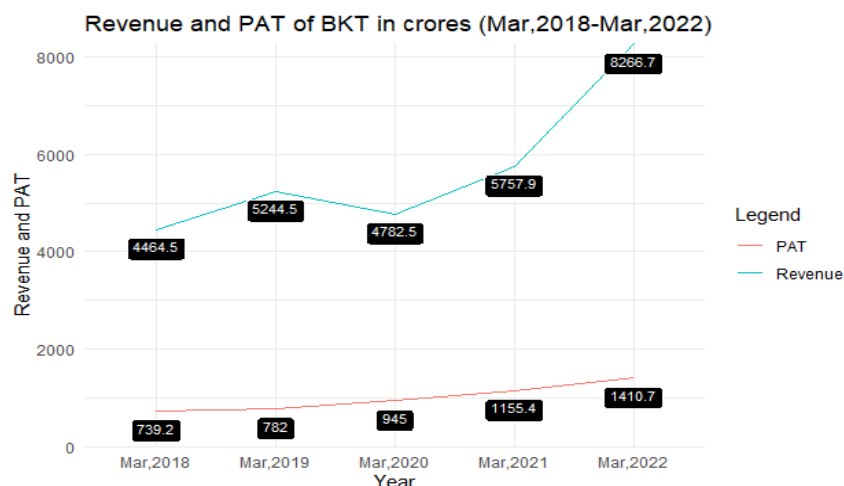
Earnings Per Share (EPS)

The earnings per share(PAT/Shares) in FY2022 is INR 72.9. The number of shares held was 19,33,17190 (Approximately 19 crore shares). In this, 1,36,434 (97.51%) of the shareholders are small shareholders and they hold 1.97% of the shares, and only 18 (0.01%) are bigger shareholders holding 74.09 % of the shares. In the category, 58.29 % of the shares are owned by Promoters and 14.05 % of the shares are owned by foreign institutional investors. The PAT (1,41,069) lakhs are divided among the shareholders.

Performance of the firm (in the last 3 years)

We can evaluate the performance of the firm through 3 things.

(i) Profitability



The above figure shows the trend of Revenue and PAT (Profit After Tax) of BKT over the last 5 years. It is evident that PAT was always greater than the previous year's PAT. This suggests that the company is making profits every year which is a good sign of a healthy business.

Measure	March, 2022	March, 2021	March, 2020
Operating Profit margin	23.7%	26.7%	23.6%
Earnings Per Share	₹ 72.9	₹ 59.77	₹ 48.88
ROE	20.3%	19.2%	18.7%

Operating Profit margin¹

This measure tells us how much profit is the company making after deducting the operating expenses from sales/revenue. The table above shows that BKT's operating profit margin has fallen by 3% in March 2022 but this has not affected the PAT of the same year.

Earnings Per Share²

This measure tells us how much money the company makes for each share of its stock. This also means that on every share the shareholders get a return of ₹ 72.9 in March 2022. In addition, the earnings per share for BKT have been increasing in the last 3 years (From the above table).

To analyse BKT's performance further, we will now look at **ROE³** (Return on equity) . This measures the profitability and how efficiently a company is using shareholder's equity to make profits. The higher the ROE, the better the company is at generating profits using shareholder's equity. We can observe from the above table that the ROE has been increasing in the last 3 years, which also means increasing shareholder value.

¹ Operating Profit Margin = Profit Before Interest and Taxes/Sales

² Earnings Per Share = Profit After Tax/Total shares held

³ ROE = Net Profits/Equity

But only the profitability of the company is not adequate to state that the company is doing absolutely well. Although the company makes profits, it may not have enough cash to pay its suppliers/Vendors, etc or it may be utilizing too many assets to extract more profits. For this, we will look at the efficiency of the company.

(ii) Efficiency

The measure ROE is driven by some components and the changes in those components affect the ROE. Namely, they are operating profit margin, Asset turnover ratio, interest payout, and Tax retention and Leverage. Increasing ROE every year is not just enough to say that the firm is working efficiently. The firm may be doing this by increasing the prices of the products or by financing their assets mostly by outsiders' contributions.

Let's look for these ratios for BKT.

Measure	March,2022	March,2021	March,2020
Asset turnover ratio	0.87	0.77	0.72
Interest Payout	0.09%	0.1%	0.15%
Tax Retention	72.1%	75.4%	84.1%
Working Capital ratio	1.2	1.3	1.28
Quick Ratio	0.7	0.8	0.88

Asset turnover⁴

This tells the efficiency of utilisation of assets over time. For BKT, the asset turnover ratio has been increasing which suggests that the firm is using its assets more efficiently compared to the last year.

Interest Payout⁵

Paying a low-interest rate for the loans would increase the ROE and this adds to the firm's capacity to negotiate the interest rate. For BKT, we can observe a decrease in the interest payout from 2018 to 2020.

Tax Retention⁶

It is how much profit the firm gets after deducting the taxes. Paying low taxes would increase the ROE because of the minimal deduction of taxes from profit before taxes. For BKT, tax retention has been decreasing since 2018.

Working Capital ratio⁷

Measuring a company's liquidity is one of the important factors to know the health of that company. The working Capital ratio represents the ability of a company to pay its current liabilities with its current assets. Having this ratio of less than 1 implies that the may not have enough cash to pay its short-term liabilities. For BKT, the Working Capital ratio has not been less than 1 since 2018.

⁴ Asset turnover ratio = Sales/Average Assets

⁵ Interest Payout = Interest expenses/Sales

⁶ Tax Retention = (1- Tax) (or) (PAT/PBT) *100

⁷ Working Capital Ratio = Current assets/Current liabilities

Quick ratio⁸

Since inventory which is under current assets cannot be converted into cash quickly, deducting inventory from the current assets and calculating the working capital ratio would give us a better understanding of the firm. This ratio is called the quick ratio. Having this ratio of less than 1 implies that the firm may not have enough cash to pay its current liabilities. For BKT, this ratio is less than 1 since 2018.

(iii) Sources of funding

Although a firm has an increasing ROE every year, this may also be because of a decrease in equity(owner's contribution). When the firm is making profits through assets funded by outsiders more than owners, this increasing contribution of outsiders of more than 50% would be worrying for a firm.

Measure	March, 2022	March, 2021	March, 2020
Leverage	1.56	1.33	1.33
Debt to Equity ratio	0.56	0.33	0.33

Leverage⁹

This measure tells to what extent the assets are funded by the owner. The higher the leverage, the lower would be the owner's contribution. For BKT, the leverage has increased in 2022 which tells us that the owner's contribution has decreased but it's not a worrying trend because the outsider's contribution is not more than 50%.

Debt to Equity ratio¹⁰

If a firm is borrowing more, it affects the net profits because of an increase in interest expenses. To see how much a firm is funding its operations utilizing borrowed money, we will look at the debt-to-equity ratio. For BKT, although the debt-to-equity ratio has increased in 2022, the firm can cover the debts.

We are looking to invest in a firm which is financially well-performing yet socially responsible. BKT could be considered as a semi strong firm in terms of social responsibility because it is contributing 1.76% of net profits as CSR and just about 2% of average net profits of the last three years. This is to note that the firm has made these contributions maybe because they are mandated to spend 2% of the average net profits under section 135(1). In terms of the financial performance in the last three years, considering the du pont analysis and above ratios, they suggest that BKT is doing well but the only concern is its debt-equity ratio. Nevertheless, it's not a worrying trend because it could cover all the debts in the near future. Looking at the firm without considering other listed companies, BKT could be a firm which we can consider to invest in terms of financial performance but not to mention if we are looking for an equally socially responsible firm.

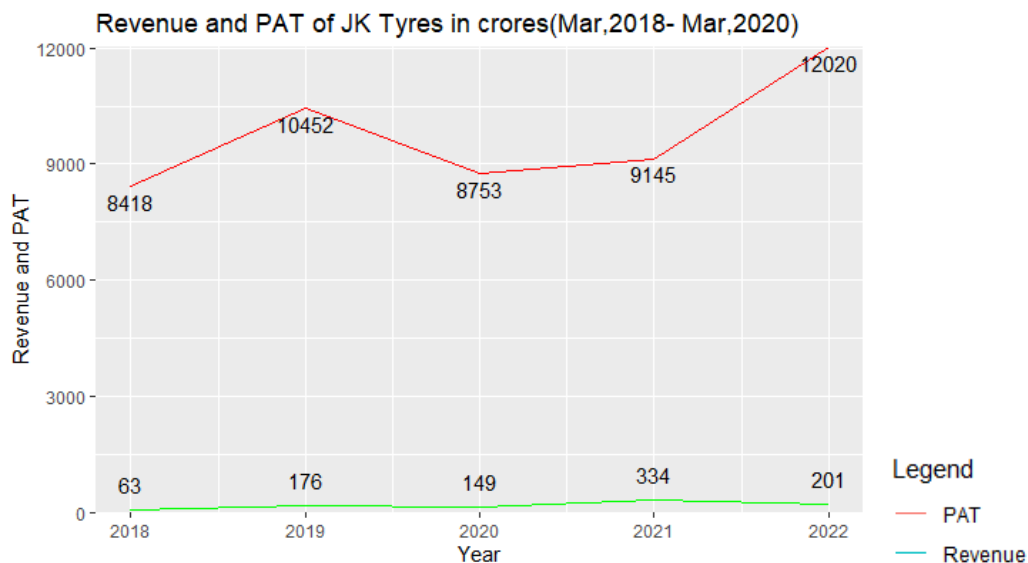
Comparison with JK tires

⁸ Quick Ratio = (Current assets - inventory)/Current liabilities

⁹ Leverage = Assets/Equity

¹⁰ Debt to Equity ratio = Total liabilities/Equity

JK Tyre and Industries Limited is also one of the foremost tire manufacturers in India. The company offers complete solutions for the two- and three-wheeler, off-road, farming, and passenger and commercial vehicle markets.



If we compare this trend with BKT, although the revenue of JK tires is higher in some years, the PAT for the same years is lower than BKT.

The Return on Equity(ROE) for JK tires for FY2022 is 7.9% which is lower than BKT. This tells us that BKT is more profitable and more efficient in using shareholder's equity to make profits as compared to JK tyres. The CSR for JK Tyres is 503.67 lakhs which is 2.2% of average net profits (last 3 years) which is slightly greater than BKT.

If we look at the other ratios such as operating profit margin, Asset turnover ratio, interest payout, and Tax retention and Leverage for JK Tyres, they are not better than that of BKT tyres. Which may give us a signal that investing in BKT is better than investing in JK Tyres but the price-Earnings ratio for JK Tyres is lower. In other words, how much a person should invest in order to receive one rupee of a company's earnings.

Price-Earnings ratio¹¹

For JK Tyres the P/E ratio for FY2022 is 23.7 and for JK Tyres, it is 7.3. Although the stock price is not fixed throughout the year, the ratio suggests that an investor needs to pay INR 23.7 for receiving one rupee in return. Whereas, for JK Tyres, we need to pay INR 7.3 to receive one rupee in return. An investor could possibly look at the P/E ratio at that point of time to see which stock gives him higher returns with lower investments. But, sometimes this is based on the industry, a quick growing company, for example, would have a higher P/E ratio. In sum, this ratio would not give a complete picture of the stock of the companies.

References

BKT Annual reports 2022 ,2021, 2020, 2019.

¹¹ Price- Earnings ratio =Market stock Price/Earnings per share

Screeners.in website